THE NATIONAL COMPANY LAW TRIBUNAL
PRINCIPAL BENCH,
AT NEW DELHI

COMPANY PETITION NO. CA (CAA)-99 (PB) 2018

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation of

HTL Computers Service Private Limited

Applicant Company No. 1/ Transferor Company No. 1

AND

Ivy Talent India Private Limited

Applicant Company No. 2/ Transferor Company No. 2

AND

HT Interactive Media Properties Limited

Applicant Company No. 3/ Transferor Company No. 3

WITH

The Hindustan Times Limited

Applicant Company No. 4/ Transferee Company

Judgment delivered on: ***12.07.2018***

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

S. K. MOHAPATRA, Hon'ble Member (T)

For Applicants: Mr. Abhishek Sanyal & Hirak Mukhopadhay, Advocates

ORDER

S .K. Mohapatra, Member

1. This application has been jointly filed by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate orders/directions for dispensing with/convening the respective meetings of shareholders, secured creditors and unsecured creditors of the applicant companies, in connection with the proposed Scheme of Amalgamation contemplated between the applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered offices of all the applicant companies are situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. M/s HTL Computers Service Private Limited (Transferor Company No.1) was incorporated on 07.04.2000 as a private limited company initially in the name of "India Cricketnme.com Private Limited".

Subsequently, on 19.11.2015 the company changed its name to its present name i.e. HTL Computers Service Private Limited. The present Authorized Share Capital of the Transferor Company is Rs. 14,00,00,000/- divided into 1,40,00,000 Equity Shares of Rs. 10/- each. The present Issued, Subscribed and paid-up Share Capital of the Company is Rs. 22,19,500/- divided into 2,21,950 Equity Shares of Rs. 10/- each. The registered office of the Transferor Company is situated at 9th Floor, Hindustan Times House, 18-20, Kasturba Gandhi Marg, New Delhi 110001.

4. It is submitted that the transferor Company no. 1 has 2 Equity Shareholders and all the two equity shareholders have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor company no. 1 has neither any secured creditor nor any unsecured creditor. The certificates of chartered accountant in respect of status of creditors of the company have also been placed on record. As the company has no secured creditor and no unsecured creditor, the requirement of convening of meetings of secured creditors and unsecured creditors does not arise. In relation to the shareholders, the transferor company no.1 seeks dispensation from convening and holding of

their meeting on the ground that both the shareholders of the transferor company no. 1 have given their consent affidavits in favour of the Scheme.

5. Ivy Talent India Private Limited (Transferor Company no.2) was incorporated on 09.11.2012 as a private limited company. The registered office of the Company is situated at 2nd floor, Hindustan Times House, 18-20, Kasturba Gandhi Marg, New Delhi 110001. The Authorized Share Capital of the company is Rs. 18,00,0,000/- divided into 1,80,00,000 Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 17,20, 00,000/- divided into 1,72,00,000/- Equity Shares of Rs. 10/- each.

6. It is submitted that Transferor Company No. 2 has 2 Equity Shareholders and consent affidavits from both the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor Company No. 2 has neither any secured creditor nor any unsecured creditor. Certificates of chartered accountant in respect of status of creditors of the company have also been placed on record. Since the transferor company no.2 has no secured and no unsecured creditor, the requirement of convening meetings of Secured creditors and unsecured creditors of the company does not arise. In relation to the

shareholders, the transferor company no.2 seeks dispensation from convening and holding of their meeting, on the ground that all the shareholders have given consent in favour of the Scheme.

7. M/s HT Interactive Media Properties Limited (Transferor Company no.3) was incorporated on 25.10.1999. The registered office of the Company is situated at 2nd floor, Hindustan Times House, 18-20, Kasturba Gandhi Marg, New Delhi 110001. The Authorized Share Capital of the company is Rs. 7,00,00,000/- divided into 70,0,000Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 17,20, 00,000/- divided into 1,72,00,000/- Equity Shares of Rs. 10/- each.

8. It is submitted that Transferor Company No. 3 has 7 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor Company No. 3 has neither secured creditor nor any unsecured creditors. Certificates of chartered accountant in respect of status of creditors of the company have also been placed on record. Since the transferor company no.3 has no secured and no unsecured creditor the requirement of convening meetings of Secured creditors and unsecured

creditors does not arise. In relation to the shareholders, the transferor company no.3 seeks dispensation from convening and holding of their meeting, on the ground that all the shareholders have given consent in favour of the Scheme.

9. M/s The Hindustan Times Limited (Transferee Company) was incorporated on 08.02.1927 as a public limited company. The registered office of the Company is situated at Hindustan Times House, 18-20, Kasturba Gandhi Marg, New Delhi 110001. The Authorized Share Capital of the company is Rs. 30,00,00,000/- divided into 80,00,000 Equity Shares of Rs. 10/- each and 22,00,000 Preference shares of Rs 100 each. The Issued share Capital of the Company is Rs. 5,31,88,800/- divided into 53,18,880/- Equity Shares of Rs. 10/- each and Paid-up Share capital of the company is Rs. 5,31,61,600/- divided into 53,16,160 equity shares of Rs. 10 each.

10. It is submitted that Transferee Company has 476 Equity Shareholders, no secured creditor and 30 unsecured creditors. Certificates of chartered accountant in respect of status of the creditors of the company have also been placed on record. Since the transferee company has no secured creditor the requirement of convening meeting of Secured creditors does not arise. In relation to the shareholders and unsecured creditors of the

transferee company, prayers have been made for issuance of directions for convening and holding of their respective meetings in order to obtain their approval in favour of the Scheme.

11. We have perused the joint applications and the connected documents / papers filed by the applicants including the Scheme of Amalgamation as contemplated between the Applicant companies.

12. It is seen that the board of directors of all the applicant companies vide separate meetings, held on 23.03.2018 respectively have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed thereat have been placed on record by the applicant companies.

13. All the applicants have filed their respective Memorandum and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2017.

14. It is submitted that the proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be April 1st, 2017.

15. All the companies have submitted that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 is pending against applicant companies.

16. It is pertinent to state here that certificate of statutory auditor of transferee company dated 08.02.2018 confirming that the accounting treatment in the scheme is in is in conformity with Section 133 of the Companies Act, 2013 has been placed on record. Subsequently, certificates to the similar effect issued by the respective statutory auditors of all the three transferor companies have been filed on 01.06.2018.

17. Further, it has been stated in the application that the Scheme will be beneficial to all the applicant companies and their respective shareholders, employees, creditors and other stake holders. It is further affirmed that the Scheme has been drawn up to comply with all applicable laws and regulations, specifically the provisions of Income Tax Act, 1961 and other applicable rules and regulations.

18. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued: -

A. In relation to the Transferor Company No. 1:-

(i) *The meeting of Equity Shareholders is dispensed with as there are only two equity shareholders in the company and their consent affidavits in favour of the Scheme have been placed on record.*

(ii) The meeting of Secured creditors is dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of unsecured creditors does not arise.

B. In relation to the Transferor Company No.2:-

(i) *The meeting of Equity Shareholders is dispensed with as there are only two equity shareholders in the company and their consent affidavits in favour of the Scheme have been placed on record.*

(ii) The meeting of Secured creditors is dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of unsecured creditors does not arise.

C. In relation to the Transferor Company No.3:-

(i) *The meeting of Equity Shareholders is dispensed with as there are only seven equity shareholders in the company and their consent affidavits in favour of the Scheme have been placed on record.*

(ii) The meeting of Secured creditors is dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and

therefore, the requirement of convening meeting of Secured creditors does not arise.

D. In relation to the Transferee Company:-

(i) The meeting of the equity shareholders of the transferee company is directed to be held at HT House, 18-20, Kasturba Gandhi Marg, New Delhi- 110001, on 31.08.2018 at 11:00 A.M. The quorum of the meeting shall be 200 in number or 75% in value.

(ii) The meeting of Secured creditors is dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of the unsecured creditors of the transferee company is directed to be held at HT House, 18-20, Kasturba Gandhi Marg, New Delhi- 110001, on 31.08.2018 at 12:30 P.M. The quorum of the meeting shall be 10 in number or 75% in value.

E. Mr. H.L Tiku , Senior Advocate (Mobile No.9810009201) is appointed as the Chairperson and Mr. Shashank Shekhar Rawat, Advocate (Mobile No.8109540985) is appointed as the Alternate Chairperson and Mr. Anand Rao Korada, Company Secretary (Mobile No.9874264647) is appointed as Scrutinizer for the meetings of shareholders and unsecured creditors of the transferee company in terms of direction issued herein.

F. In case the quorum as noted above for the respective meetings of the equity shareholders and unsecured creditors of the Transferee Company are not present at the meetings, then the meeting shall be adjourned by half an hour, and thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the transferee company at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein along with

Scrutinizer shall ensure that the proxy registers are properly maintained.

G. The fee of the Chairperson for the aforesaid meetings shall be Rs. 1,50,000/- , the fee of the Alternate Chairperson shall be Rs. 1,00,000/- and the fee of the Scrutinizer shall be Rs. 1,00,000/- in addition to meeting their incidental expenses. The Chairperson will file its reports within a week from the date of holding of the above meetings.

H. That the Transferee Company shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi editions of 'Hindustan Times' English edition and "Hindustan" Hindi edition stating that the copies of Scheme, the explanatory statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Transferee Company.

I. Voting shall be allowed on the proposed Scheme by voting in person, by proxy, through postal ballot or through electronic means as may be applicable for the respective meetings of equity

shareholders and unsecured creditors of the Transferee Company in terms of the provisions of the Companies Act, 2013 and Rules framed there under.

J. The companies shall individually send notice to Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, the Income Tax Authorities, Registrar of Companies National Capital Territory of Delhi and Haryana, Official Liquidator along with copy of relevant documents and disclosures as required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

K. The Transferee Company shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every equity shareholders and unsecured creditors of the Applicant Company no. 4/ Transferee Company entitled to attend the meetings as mentioned above.

L. The authorized representative of the Transferee Company shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

M. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

Sd/-

12.07.201

(M.M. KUMAR)

PRESIDENT

Sd/-

(S. K. MOHAPATRA)

MEMBER (T)

Deepak Kumar